

IN TODAY'S ARTIFICIAL Intelligence (AI)-driven world, everything is just a click away—from munchies to mobile phones. Financial management in India is not far behind. AI is reshaping how people budget, invest, and borrow. A report by PwC India, a professional services brand, released in August titled “Mapping the Fintech Innovation Landscape in India”, revealed that 90% of Indian financial institutions are focussing on AI and Generative AI (GenAI).

This shift aligns with consumer behaviour in metro cities, where 70-80% residents regularly use mobile apps. As a result, managing personal finances through apps has become the norm.

In addition to the rise in mobile app usage, India's Digital Public Infrastructure (DPI), including Aadhaar, UPI, DigiLocker, and the Account Aggregator (AA) ecosystem, has created a favourable environment for AI to thrive in.

B. G. Mahesh, CEO of Sahamati, an account aggregator, concurs. “Aadhaar has established a standardised identity framework, while UPI has significantly popularised digital transactions,” he says. These innovations have generated robust digital footprints or “digital assets”, unlocking new possibilities for data-driven financial services like collateral-free loans, he adds. “However, much of this data was historically siloed”.

Here's how AI is changing financial habits:

egies. It excels in analysing past behaviour to predict future actions and build precise risk profiles of investors.

For example, there are apps available that provide a unified view of bank balances, send reminders for recurring payments, and analyse spending trends. They are built on the foundation of Account Aggregators (AA). “While AAs don't use AI themselves, their consent-based data-sharing system creates a foundation for AI-powered solutions that add value for customers,” Mahesh explains.

AAs—introduced in 2016 as a category of RBI-regulated NBFCs—enable individuals to securely access and share financial data across institutions with explicit, informed consent. Through this consent management service, AAs act as a single point of contact for customers to give, manage, review, and withdraw consents from Financial Information Users (FIUs) to access their data from Financial Information Providers (FIPs). The AA ecosystem, publicly launched in 2021, facilitates seamless sharing of financial data from sources like banking, investment, insurance, pensions, and GSTN, explains Mahesh.

Several banks and apps like Cred Money are leveraging these advancements. They track spending patterns, categorise expenses by merchant type, and provide actionable insights. As an FIU under the AA framework, many money management apps are using AI and transforming personal finance management in India.

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AI has simplified financial management by studying spending habits, transaction patterns, and investment choices to forecast needs and recommend tailored strat-

EFFECTIVE CUSTOMER SERVICE

Financial institutions have been increasingly leveraging AI for automating operational tasks and enhancing customer service. Chatbots and virtual assistants powered

WHAT FACETS OF BUSINESS WOULD GEN AI IMPACT?

CUSTOMER EXPERIENCE IS THE MOST IMPORTANT FACET THAT GEN AI IS EXPECTED TO IMPACT

WHAT FACETS OF BUSINESS WOULD GEN AI IMPACT?

75% CUSTOMER EXPERIENCE

68% DRIVING INNOVATION

51% COST REDUCTION

40% REVENUE ACCELERATION

14% OTHERS

SOURCE EY REPORT

AI IN FINANCE

Area of Application	AI Technology Used	Purpose/Benefit
Risk Assessment	Predictive analytics	Predicts future actions, assesses risk profiles
Customer Service	Chatbots, Virtual assistants	24/7 support, handling queries, account updates
Fraud Prevention	Anomaly detection, Machine learning	Identifies fraud by detecting unusual patterns
Investment Strategy	Robo-advisors, Personalisation algorithms	Offers customised investment recommendations
Document Validation	Optical Character Recognition (OCR)	Verifies identity documents, reduces errors